

The complaint

Mr M has complained that Accredited Insurance Europe Ltd (“Accredited”) declined his home insurance claim following a flood at his property.

Mr M used a representative to make the complaint on his behalf. For ease, I’ll refer to all actions and comments as being those of Mr M.

What happened

Mr M took out a buildings and contents home insurance policy with Accredited in June 2019. The policy was bought through a broker. Mr M’s policy did not include flood cover.

In early February 2020 Mr M’s home flooded and damage was caused to floor coverings, kitchen units and soft furnishings. Mr M submitted a claim to Accredited and this was turned down, so Mr M complained.

Accredited did not uphold Mr M’s complaint. It outlined the flood clause from the policy and highlighted that flood cover was excluded from Mr M’s policy. It said the surveyor’s report indicated the whole ground floor of the property had suffered an ingress of flood water. The surveyor’s report also said local press reports said gardens in Mr M’s area flooded because of a local beck. It provided a link to a government website, which outlined the long-term flood risk in Mr M’s area.

Mr M complained to this service. He said the proximate cause of the flooding is storm Ciara and so his loss should be covered under the storm section of his policy. He said there was very heavy rainfall in a very short period of time, which meant the drains were not able to cope with the volume of water and the water entered his property. Mr M feels the insurers should have put an additional clause in his policy saying that flooding, as a result of a storm, isn’t covered.

Our investigator upheld Mr M’s complaint. He said Accredited were right to say Mr M’s policy excluded flood cover. However, he thought the claim should be assessed again as there was enough evidence to suggest the root cause of the damage was a storm, which Mr M is covered for under the policy. Our investigator outlined various weather and news reports from the time of the flood, to show that the flood was most likely caused by storm Ciara.

Our investigator said he looked at the policy terms in relation to flooding and what is and isn’t covered. He said this section doesn’t mention that flood caused by a storm isn’t covered. He also looked at the policy term in relation to storm damage and the events that aren’t covered under this term. He said this doesn’t mention that floods due to a storm aren’t covered or would be dealt with under the flood section. He concluded that if the cause of the flood is a storm, then this is covered under the policy.

Accredited did not agree with our investigator and the complaint has come to me to review.

I issued a provisional decision on 17 July 2020 and indicated that I intended to come to a

different conclusion to that of the investigator and not uphold this complaint. In summary, I said I didn't think it would be fair to ask Accredited to pay a claim where one of the direct and primary causes of the damage to Mr M's home, namely flooding, is excluded under Mr M's policy.

I gave both parties the opportunity to respond with further comments.

Mr M responded and asked why the provisional decision hadn't dealt with damage caused by the same storm to an upstairs ceiling in his home. I made additional checks with Accredited and let Mr M know that he didn't mention damage to the ceiling when he submitted his claim to Accredited or when he brought his complaint to this service. And this means I can't deal with any issues Mr M has in relation to the upstairs ceiling.

Accredited responded and said it thought this was a fair outcome and had no further comments to add.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so I'm not upholding Mr M's complaint. I'll explain why.

An inspection of the damage to Mr M's property was carried out by a surveyor following Mr M's claim. Mr M reported the cause of the damage to Accredited as the beck at the bottom of his road breaking its banks and flooding the street, causing water to enter the ground floor of his property. The surveyor agreed that this was the most likely cause and said this was confirmed by local press reports. So I'm satisfied that the damage to Mr M's home was caused by floodwater from the beck entering his property.

Accredited said Mr M is not covered under this policy for flood damage. Having looked at the policy documents and schedule, I'm satisfied this is the case. I can see that the policy schedule excludes flood cover for both buildings and contents.

But Mr M's policy provides cover for storm damage. And I'm satisfied that storm Ciara caused a good deal of damage in Mr M's area on the date in question. So I've looked at whether this claim should be assessed under the storm damage term. But I don't think it should. I'll explain why.

The policy defines flood damage as:

Water, from any source external to a building, which enters a building –

- (a) At or below ground level, or above ground level, provided that part of the body of such water is at ground level; and*
- (b) Does so with a volume, weight or force which is substantial and abnormal.*

I'm satisfied that rainwater from the storm didn't directly enter Mr M's property. I'm also satisfied that the amount of rain that fell during storm Ciara was the reason there was an excessive amount of water in the beck, and the beck burst its banks as a result. This in turn caused Mr M's property to flood - so an external source of water, the beck, entered his property at ground level with some force.

I appreciate the flood water was caused by the storm, and Mr M is covered for storm damage under the policy. So the question of proximate cause – the direct cause – of

the damage to Mr M's property, has to be looked at.

But I don't think it's fair to say the storm was the only cause of the damage to Mr M's property. I think it's fair to say it's because Mr M's property is in close proximity to the beck and because the beck flooded, that the damage has been caused. So I'm satisfied it was a combination of rainwater from the storm – causing there to be an excessive amount of water in the beck - and flooding, that led to the damage in Mr M's property.

This means that one cause of the damage to Mr M's property is covered under Mr M's policy and the other isn't. When this situation arises, it's usually fair to say that the insurer is allowed to turn down the claim. I'm satisfied that's reasonable in this case. And that's because, as I said above, rainwater from the storm didn't directly enter Mr M's property. It was the flooding caused by the beck bursting its banks that led to the damage being caused. So I'm satisfied the damage was primarily caused by the flooding.

In this situation I don't think it would be fair to ask Accredited to pay a claim where one of the direct and primary causes is excluded under the policy. So I'm satisfied that Accredited acted fairly when it declined to pay the claim on the basis that damage caused by flooding is excluded under Mr M's policy.

My final decision

My final decision is that I do not uphold Mr M's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 16 September 2020.

Martina Ryan

Ombudsman